

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-02
BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S MOTION CHALLENGING RESPONDENTS’
CONFIDENTIALITY DESIGNATION OF CERTAIN DOCUMENTS**

Pursuant to Section 9.b. of the Protective Order entered by the Presiding Officer in this case on July 28, 2023 (the “Protective Order”), Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant”), by and through its undersigned attorneys and pursuant to 46 C.F.R. Sections 502.5 and 502.14(j), hereby respectfully moves the Presiding Officer in this case for an order that removes *in toto* from each of the documents reflected in the attached chart (the “Subject Documents”), filed herewith as Exhibit A, improperly restrictive confidentiality designations by Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, “Respondents” and, collectively with Complainant, the “Parties”).

I. Introduction and Background

Contemporaneously with the filing of the instant motion (the “Motion”), and based on information produced by Respondents during discovery in these proceedings, Complainant is filing a Motion for Permission to File a Proposed Verified First Amended Complaint (the “Motion to Amend”). In connection with the Motion to Amend, and pursuant to Rule 5(a)(2)(i) of the Federal Maritime Commission’s (the “Commission”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.5(a)(2)(i), Complainant is submitting to the Presiding Officer in

this case a copy of Complainant's proposed Verified First Amended Complaint (the "FAC") under seal in unredacted form, as the additional documents quoted or cited in the proposed FAC from Respondents' document production in this case were designated by Respondents as either Confidential or Attorneys Eyes Only ("AEO"), thus precluding Complainant from filing an unredacted proposed FAC publicly. The chart reflected in Exhibit A hereto includes full relevant quotations from the Subject Documents, which are quoted in full or in part or summarized in Complainant's proposed FAC.

Based on the Subject Documents, the proposed FAC seeks to amend Complainant's original Verified Complaint in this case to (i) add a claim regarding alleged retaliatory conduct by Respondents in violation of the former 46 U.S. Code Section 41104(a)(3) (now codified at 46 U.S. Code Section 41102(d)), (ii) streamline certain other allegations in the original Verified Complaint, and (iii) allege additional material facts stemming from documents produced by Respondents in discovery in this case. The Subject Documents are thus highly relevant to Complainant's claims regarding Respondents' alleged unjust, unreasonable, and retaliatory conduct, policies, and strategies during the time period at issue in this case.

As reflected in Exhibit A, Respondents designated the bulk of the Subject Documents as either Confidential or AEO under the Protective Order in this case. As a result, practically all of Respondents' documents quoted or cited in the proposed FAC fall under the confidentiality protections of the Protective Order. As detailed herein, however, these documents on their face merit no such protection. These documents, which span from August 6, 2020 through January 18, 2023, consist primarily of routine external and internal business communications by Respondents' employees that (a) reflect further details as to the violations of the Shipping Act alleged in Complainant's original Verified Complaint but (b) are neither "commercially sensitive" nor have

a “substantial probability of jeopardizing [Respondents’] competitive business interests or . . . competitive or privacy interests” as required by the Protective Order to warrant such confidentiality protection. Thus, Respondents’ designation of the Subject Documents as Confidential or AEO is improper under the provisions of the Protective Order.

Pursuant to Protective Order Section 9.a, Complainant’s counsel sought in good faith to meet and confer with Respondents’ counsel regarding Respondents’ confidentiality designations of the Subject Documents in order to facilitate the public filing of the proposed FAC. On June 12, 2024, Complainant’s counsel sent Respondents’ counsel an unverified draft of the proposed FAC in connection with a request that Respondents change or withdraw their confidentiality designations of the Subject Documents. Complainant’s efforts, however, were rebuffed. On June 18, 2024, Respondents’ counsel declined to meet and confer with Complainant, instead replying that “OOCL intends to oppose the motion and does not agree to waive the Confidential and/or AEO designations on the documents [Complainant has] cited or quotes included in the draft amended complaint.”¹ See Declaration of J. Lee Hill (the “Hill Declaration”), filed contemporaneously herewith, Ex. 1 at 2. Respondents’ refusal to remove their confidentiality designations from the Subject Documents necessitated the instant Motion, which Complainant now submits so that, in the event that Complainant’s Motion to Amend is granted, Complainant may file an unredacted version of the proposed FAC on the public docket of this case.

II. Relevant Provisions of the Protective Order and Legal Standards

The Protective Order agreed to by the Parties and entered by the Presiding Officer in this case establishes the standard for confidentiality protection of documents produced in discovery in

¹ Given Respondents’ refusal, Complainant has satisfied its obligations under Protective Order Section 9.a as to the instant motion.

this case, the procedures for designating information produced in discovery in this case as Confidential or AEO, and the procedures for resolving disputes relating to such designations. *See* Protective Order Sections 1, 9.

Section 2 of the Protective Order provides in relevant part that:

A party (or producing non-party) may designate as “Confidential” any information that is ***commercially sensitive*** and is not publicly known, including information provided by third parties to the producing party or non-party with the expectation that the information remain confidential (“Confidential Information”). (emphasis added.)

Section 3 of the Protective Order provides in relevant part that:

A party (or producing non-party) may designate as [AEO] any information or material whose ***disclosure to anyone other than outside counsel has a substantial probability of jeopardizing the producing party or non-party’s competitive business interests*** or the competitive or privacy interests of the producing party or nonparty’s suppliers, service providers, customers or clients, or of an individual party in this proceeding. (emphasis added.)

When a party contests another party or nonparty’s designation of confidentiality, Section 9.a of the Protective Order provides that, “Counsel for the parties shall confer in a good faith effort to resolve any differences.” “Failing agreement of the parties,” Section 9.b. of the Protective Order further provides that:

[T]he party objecting to the designation of information as Confidential or AEO may file an appropriate motion with the ALJ and shall (1) certify that s/he has sought in good faith to confer with opposing counsel and has been unable to resolve the dispute by agreement; and (2) identify by specific category or document number the information for which relief is sought.

“Within ten business days of receiving such a motion,” Section 9.c of the Protective Order requires the opposing party or nonparty to “respond to the motion by showing with particularity with respect to each challenged item of Confidential or AEO information, the reasons why such information has been properly designated as Confidential or AEO.” Finally, Section 9.d makes

clear that “[t]he burden of establishing that information is Confidential or AEO shall be on the party or non-party designating it as such” (here, Respondents).

When weighing whether to seal records in court or administrative cases such as this, the court or Presiding Officer’s analysis begins with the well-established common law presumption of public access. *See In re Avandia Mktg., Sales Practices & Prods. Liab. Litig.*, 924 F.3d 662, 670 (3d Cir. 2019) (“In addition to recognizing fewer reasons to justify the sealing of court records, the public right of access . . . begins with a presumption in favor of public access.”); *see also Bank of Am. Nat. Tr. v. Hotel Rittenhouse*, 800 F.2d 339, 343 (3d Cir. 1986) (“The right of the public to inspect and copy judicial records antedates the Constitution.”) (citing cases).

Moreover, Commission precedent emphasizes the prudent use of judicial and party resources. Accordingly, over-designating discovery material as “confidential” is particularly disfavored where the designating party has failed to make “a conscientious effort to only seek confidential treatment of appropriate portions of documents or testimony”, particularly because “over-designation of confidential material unnecessarily complicates [] proceedings, causes delay, and limits discussion of important issues.” *Intermodal Motor Carriers Conference, Am. Trucking Ass’n, Inc., Complainant v. Ocean Carrier Equip. Mgmt. Assoc. Inc. et al.*, Docket No. 20-14, 2023 WL 1963455, at *11 (Fed. Mar. Comm’n ALJ Feb. 6, 2023) (Wirth, C.J.). Indeed, the Presiding Officer in that case noted that “confidentiality may be denied to all exhibits if parties have not made a conscientious effort” to avoid overbroad or otherwise unnecessary confidentiality designations.” *Id.*

Finally, “*the proponents of closure bear the burden of showing that disclosure will work a clearly defined and serious injury . . . [a]nd in delineating the injury to be prevented, specificity is essential . . .* in civil litigation, only trade secrets, information covered by a recognized privilege

(such as the attorney-client privilege), and information required by statute to be maintained in confidence (such as the name of a minor victim of a sexual assault), is typically enough to overcome the presumption of access”. *Shane Grp., Inc. v. Blue Cross Blue Shield of Mich.*, 825 F.3d 299, 307–08 (6th Cir. 2016) (finding that the district court erred by sealing documents that were not trade secrets) (internal citations omitted) (cleaned up).

III. Argument

Respondents cannot carry their burden to show that any of the information contained in the Subject Documents meets the Protective Order’s standards for Confidentiality (“commercially sensitive”) or AEO (having “a substantial probability of jeopardizing” any party’s “competitive business interests or the competitive or privacy interests”), respectively. As to the Protective Order’s requirements for Confidentiality designations (Section 2), Respondents cannot establish that the Subject Documents are commercially sensitive or that the public disclosure of the Subject Documents will put Respondents at a competitive disadvantage. Respondents are thus unable to meet the high bar of specificity required to overcome the presumption of public access to judicial documents. *Id.*

Indeed, disclosure of such documents is ***mandated*** both by that presumption and the function that such disclosure will provide in illuminating the many issues of public import that lie at the heart of this case. *See Brown Williamson Tobacco Corp. v. F.T.C.*, 710 F.2d 1165, 1180 (6th Cir. 1983) (“***common sense tells us that the greater the motivation a corporation has to shield its operations, the greater the public’s need to know.*** In such cases, a court should not seal records unless public access would reveal legitimate trade secrets”) (emphasis added). For example, as alleged in the proposed FAC filed contemporaneously herewith, the Subject Documents show Respondents’ conduct punishing Complainant following Complainant’s submission of an October

18, 2021 letter to Respondents that explicitly put Respondents on notice regarding certain practices of Respondents that were inconsistent with the Commission’s guidance on reasonable demurrage and detention practices (the “October 2021 Letter”).

The communications within the Subject Documents surrounding this allegedly retaliatory conduct do not mention any other of Respondents’ customers and took place more than two years ago, during a time that Respondents themselves have characterized elsewhere in this case as “extraordinary”. *See* Respondents’ Opp’n to Complainant Bed Bath & Beyond Inc.’s Mot. for Partial Decision on the Pleadings, Dkt. 17 (July 19, 2023), at 7; *see also* Respondents’ Answer to Verified Compl., Dkt. 7 (May 22, 2023), at 2. Thus, they have no bearing on Respondents’ current or future commercially sensitive operations or information, and thus do not merit confidential treatment.

Similarly, the other additional allegations in the proposed FAC in support of Complainant’s claims are based on specific communications, including internal communications among Respondents’ employees, regarding the wrongdoing against Complainant alleged in the proposed FAC. Rather than presenting a threat to Respondents’ “commercially sensitive” information, such communications simply put a further spotlight on Respondents’ alleged misconduct. The Presiding Officer should thus reject Respondents’ efforts to use the Protective Order as a shield to protect themselves from further scrutiny from the Commission and the public. *See ICC Evaluation Serv., LLC v. Int’l Ass’n of Plumbing and Mech. Officials, Inc.*, No. 116-CV-00054-EGS-ZMF, 2022 WL 2785985, at *5 (D.D.C. July 15, 2022) (“***The potential harm asserted by the corporate defendants is in disclosure of poor management in the past. That is hardly a trade secret.***”) (emphasis added).

Respondents fail to carry their burden with respect to the Protective Order's more stringent standards for AEO protection (Section 3), as well. Indeed, Respondents' designation of certain of the Subject Documents as AEO is even further afield of the purpose of that designation, for the same reasons discussed above with respect to the documents designated as Confidential. Far from representing "commercially sensitive" information, public filing of the AEO-designated Subject Documents cannot reasonably be interpreted to carry "a substantial probability of jeopardizing [Respondents'] competitive business interests" or the "competitive or privacy interests" of any other entity covered by Section 3 of the Protective Order. As mentioned above, the Subject Documents all relate to Respondents' own past behavior during a time period in which Respondents themselves have claimed that "carriers faced unprecedented challenges" and operated "under extraordinary circumstances", *see* Respondents' Opp'n to Complainant Bed Bath & Beyond Inc.'s Mot. for Partial Decision on the Pleadings, Dkt. 17 (July 19, 2023), at 7; *see also* Respondents' Answer to Verified Compl., Dkt. 7 (May 22, 2023), at 2, and thus cannot jeopardize the current or future competitive or business interests of Respondents or any other party or non-party covered by the Protective Order. Nor do the Subject Documents reveal sensitive personally identifying information traditionally treated as protected information (such as Social Security numbers, home addresses, or other similar information), reveal any trade secrets, or disclose any customer lists. Respondents thus cannot invoke privacy interests specific to any individual to support their AEO designations, either. Indeed, nothing in the documents reflects a personal concern or worry by their authors regarding the distribution of the documents ***except to avoid exposure of Respondents' alleged wrongdoing***. Here too, public disclosure of the Subject Documents would not result in any injury to Respondents or others that would actually justify an AEO designation in the face of Complainant's challenge here. *See ICC Evaluation Serv., LLC*,

2022 WL 2785985 at *5 (“[e]ven if Defendants’ conclusory statement implied a generalized reputational or financial harm from loss of business, this would still be insufficient [because s]imply showing that the information would harm a company’s reputation is not sufficient to overcome the strong common law presumption in favor of public access to court proceedings and records.”) (internal citations omitted) (cleaned up).

At bottom, the Subject Documents simply contain information that is revealing of Respondents’ conduct with respect to Complainant allegedly in violation of the Shipping Act, and bear no present or future relevance to commercially sensitive business topics or strategies. Such information is therefore not properly subject to the Protective Order’s AEO designation. While Respondents may understandably want to avoid the Subject Documents becoming public, neither the Protective Order nor applicable case law makes Confidentiality or AEO designations appropriate and defensible merely because a document may be uncomfortable or embarrassing to the designating party. *See Ameriprise Fin. Servs., Inc. v. Reserve Fund*, No. CV 08-5219 (PAM/JJK), 2008 WL 11456114, at *3 (D. Minn. Dec. 15, 2008) (“the purpose of entering a protective order is not to insulate a party from the annoyance, embarrassment, oppression, or burden that may be caused by having to defend claims of wrongdoing the details of which appear in materials produced during discovery”). Respondents may not use the Protective Order for such a purpose.

CONCLUSION

For the foregoing reasons, Complainant respectfully moves the Presiding Officer in this case for an order removing *in toto* Respondents' Confidential and AEO designations from the Subject Documents and permitting the Subject Documents to be quoted or cited in publicly filed documents in this case or publicly filed themselves.

Dated: July 8, 2024

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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Dated: July 8, 2024

A handwritten signature in black ink, reading "Lee Hill", written over a horizontal line.

J. Lee Hill

*For Complainant 20230930-DK-Butterfly-1,
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